Nifty 50 Stocks Strategy: Backtest Results

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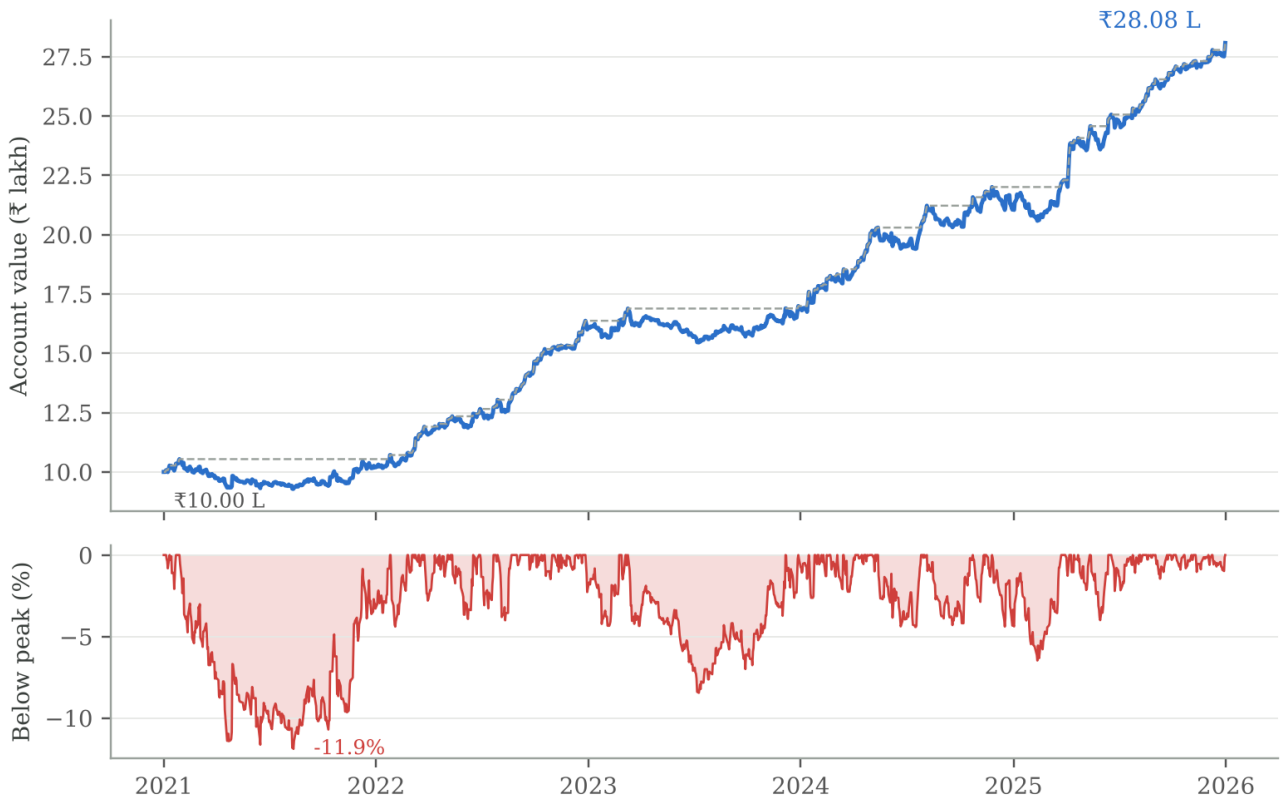
A rules-based price-action strategy on Nifty 50 stocks that takes both long and short trades. Over five years it turned **₹10 lakh into ₹28.08 lakh** across 7,880 closed trades, with a worst fall of 11.9%. Prices use the NSE official open. Entry and exit rules are proprietary and not shown here.

Headline results

Measure	Result
Compounded annual return (CAGR)	**22.9%**
Total profit	**₹18.08 lakh on ₹10 lakh**
Sharpe ratio	**1.83**
Sortino ratio	**3.44**
Maximum drawdown	**−11.9% (Jan – Aug 2021, recovered Jan 2022)**
Calmar ratio (CAGR ÷ max drawdown)	**1.93**
Annual volatility	**11.2%**
Positive months	**70% (42 of 60)**
Best / worst month	**+9.6% (Apr 2024) / −4.0% (Feb 2021)**
Closed trades	**7,880**

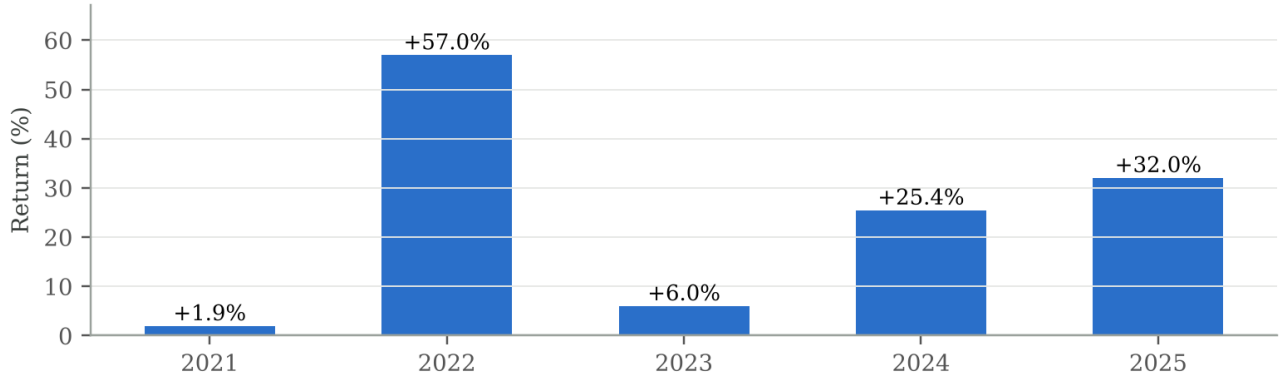
Sharpe, Sortino and volatility are annualised from daily account values over every trading day, with no risk-free rate deducted.

Equity curve and drawdown



Top: account value from ₹10 lakh (dashed line = previous high). Bottom: percentage below the previous high.

Returns by year



Every calendar year was profitable.

Returns by month (%)

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
2021	+4.8	-4.0	-2.8	+0.5	-3.3	0.0	-0.8	+1.9	0.0	+1.3	+3.3	+1.4
2022	+1.8	+3.0	+8.3	+2.5	+1.4	+4.9	+3.3	+3.5	+8.5	+3.9	+0.6	+4.5
2023	-1.5	+3.0	0.0	+1.1	-1.0	-3.3	-0.2	+1.6	-0.3	+1.7	+1.7	+3.4
2024	+5.2	+1.3	+1.3	+9.6	-1.2	-1.6	+5.6	-0.8	+0.7	+2.4	+2.8	-1.7
2025	-2.2	+1.1	+6.0	+7.2	-1.3	+5.2	+1.9	+4.2	+1.5	+1.3	+0.7	+2.9

Long versus short

Side	Profit	Profit factor
Long	₹16.28 lakh	1.56
Short	₹1.80 lakh	1.04
Total	₹18.08 lakh	

Profit factor = total gains ÷ total losses.

Key observations

- **Consistent.** All five years and 70% of months were positive.
- **Controlled risk.** The worst fall was 11.9%, in the strategy's first year; later dips stayed under 9%.
- **The edge sits on the long side.** Long trades produced about 90% of the profit; short trades roughly broke even, which points to a long-biased version as the next step.
- **Uneven years.** 2022 (+57%) was far stronger than 2021 (+1.9%) and 2023 (+6.0%), so returns should be judged over several years, not one.

Notes

These are backtest results on historical data, not live trading. The strategy is now running in paper trading, and results will be added monthly.